equal amounts. In this case your personal inflation over the last ten years would have been cumulative (34% + 48%)/2 = 41% and the annualized inflation rate would have been roughly $(1.41)^{(1/10)} - 1 = 3.5\%$ per year.

Note, once again, that the BLS doesn't calculate inflation by keeping these weights fixed for ten years—and they have a unique way of measuring house inflation—but you hopefully appreciate my basic point. Anyone can construct a rough personalized inflation rate that better reflects his expenditures.

Another important takeaway point is as follows: Because locating fixed-income investments that perfectly hedge your financial capital against a particular inflation rate is exceedingly difficult, the next best thing is to locate investments that have strong correlations with your liabilities.

For example, I would tilt my equity-based investment portfolio toward sectors and companies that stand to benefit from an (unpredictable) shock to my personal inflation rate. Companies in the pharmaceutical sector, biotechnology, health care, and even managers of nursing homes will all stand to benefit from further advances in longevity. If Pfizer, Merck, Wyeth, GlaxoSmithKline, or Bayer discover and develop a drug that extends my life by a handful of years, then my cost of longevity will obviously increase. More importantly, these companies' stock prices will likely increase above and beyond the underlying markets in which they trade. Investing in these companies will then hedge or even partially insure against the unexpected increase in retirement expenditures, which is yet another form of personal inflation.

Finally, one topic I have not addressed is whether the calculation methodology for CPI is a good measure of the economy's overall inflation rate. There are many financial commentators who believe that, irrespective of the personal nature of inflation, the true level of inflation in the economy is actually much higher, and that the reported numbers are lower than they should be. This is because the statistical methodology is biased by artificial values for many of the consumer prices that are hard to measure. Either way the end result is the same. It's time to pay more attention to this.